

BIR Income Tax FAQ (Philippines)

This document contains 20 frequently asked questions and answers about income tax from the Philippine Bureau of Internal Revenue (BIR). Amounts written with the letter P (for example P250,000) are Philippine pesos (PHP). NIRC means the National Internal Revenue Code (Tax Code).

Question 1: What is income?

Topic: Income basics

Answer: Income means all wealth which flows into the taxpayer other than as a mere return of capital.

Question 2: What is Taxable Income?

Topic: Income basics

Answer: Taxable income means the pertinent items of gross income specified in the Tax Code as amended, less the deductions, if any, authorized for such types of income, by the Tax Code or other special laws.

Question 3: What is Gross Income?

Topic: Income basics

Answer: Gross income means all income derived from whatever source.

Question 4: What comprises gross income?

Topic: Income basics

Answer: Gross income includes, but is not limited to, the following: (1) compensation for services, in whatever form paid, including but not limited to fees, salaries, wages, commissions and similar items; (2) gross income derived from the conduct of trade or business or the exercise of profession; (3) gains derived from dealings in property; (4) interest; (5) rents; (6) royalties; (7) dividends; (8) annuities; (9) prizes and winnings; (10) pensions; (11) partner's distributive share from the net income of the general professional partnerships.

Question 5: What are some of the exclusions from gross income?

Topic: Income basics

Answer: Some of the exclusions from gross income are: life insurance; amount received by insured as return of premium; gifts, bequests and devises; compensation for injuries or sickness; income exempt under treaty; retirement benefits, pensions, gratuities, etc.; miscellaneous items; income derived by foreign government; income derived by the government or its political subdivision; prizes and awards in sport competition; prizes and awards which met the conditions set in the Tax Code; 13th month pay and other benefits not exceeding P90,000; GSIS, SSS, Medicare and other contributions; gains from the sale of bonds, debentures or other certificate of indebtedness with a maturity of more than five (5) years; and gains from redemption of shares in mutual fund.

Question 6: What are the allowable deductions from gross income?

Topic: Deductions

Answer: The allowable deductions from gross income are either (a) the Optional Standard Deduction (OSD), which is an amount not exceeding 40% of the gross sales/receipts for individuals and gross income for corporations; or (b) Itemized Deductions, which include: expenses; interest; taxes; losses; bad debts; depreciation; depletion of oil and gas wells and mines; charitable contributions and other contributions; research and development; and pension trusts.

The Optional Standard Deduction is not allowed to a non-resident alien individual. A General Professional Partnership (GPP) may avail of the OSD only once, either by the GPP or by the partners comprising the partnership.

Question 7 (Part 1: general cases): Who are not required to file Income Tax returns?

Topic: Who files and who is exempt

Answer: The following are not required to file income tax returns: (a) an individual earning purely compensation income whose taxable income does not exceed P250,000.00; (b) an individual whose income tax has been withheld correctly by his employer, provided that such individual has only one employer for the taxable year; (c) an individual whose sole income has been subjected to final withholding tax or who is exempt from income tax pursuant to the Tax Code and other special laws; (d) an individual who is a minimum wage earner; (e) those who are qualified under "substituted filing" (see Part 2).

Question 7 (Part 2: substituted filing requirements): Who are not required to file Income Tax returns?

Topic: Who files and who is exempt

Answer: Employees who are not required to file an income tax return because of "substituted filing" must meet all of the following requirements. Substituted filing applies only if all of these are present: the employee received purely compensation income (regardless of amount) during the taxable year; the employee received the income from only one employer in the Philippines during the taxable year; the amount of tax due from the employee at the end of the year equals the amount of tax withheld by the employer; the employee's spouse also complies with all 3 conditions stated above; the employer files the annual information return (BIR Form No. 1604-CF); and the employer issues BIR Form No. 2316 (Oct 2002 ENCS version) to each employee.

Question 8 (Part 1: non-resident citizens (i and ii)): Who are exempt from Income Tax?

Topic: Who files and who is exempt

Answer: Exempt from income tax is the income from abroad of a non-resident citizen. A non-resident citizen is: (i) a citizen of the Philippines who establishes to the satisfaction of the Commissioner the fact of his physical presence abroad with a definite intention to reside therein; or (ii) a citizen of the Philippines who leaves the Philippines during the taxable year to reside abroad, either as an immigrant or for employment on a permanent basis.

Question 8 (Part 2: non-resident citizens (iii and iv)): Who are exempt from Income Tax?

Topic: Who files and who is exempt

Answer: Exempt from income tax is the income from abroad of a non-resident citizen. A non-resident citizen is also: (iii) a citizen of the Philippines who works and derives income from abroad and whose employment thereat requires him to be physically present abroad most of the time during the taxable year; or (iv) a citizen who has been previously considered as a non-resident citizen and who arrives in the Philippines at any time during the year to reside permanently in the Philippines. He will likewise be treated as a non-resident citizen during the taxable year in which he arrives in the Philippines, with respect to his income derived from sources abroad until the date of his arrival in the Philippines.

Question 8 (Part 3: Overseas Filipino Workers, including overseas seamen): Who are exempt from Income Tax?

Topic: Who files and who is exempt

Answer: An individual citizen of the Philippines who is working and deriving income from abroad as an overseas Filipino worker is taxable only on income from sources within the Philippines. A seaman who is a citizen of the Philippines and who receives compensation for services rendered abroad as a member of the complement of a vessel engaged exclusively in international trade will be treated as an overseas Filipino worker.

Note: A Filipino employed as Philippine Embassy/Consulate service personnel of the Philippine Embassy/Consulate is not treated as a non-resident citizen; hence, his income is taxable.

Question 8 (Part 4: exempt institutions): Who are exempt from Income Tax?

Topic: Who files and who is exempt

Answer: The following institutions are also exempt from income tax: General Professional Partnership; Government Service Insurance System (GSIS); Social Security System (SSS); Philippine Health Insurance Corporation (PHIC); and Local Water Districts (LWD).

Question 9 (Part A: "with payment" ITRs): What are the procedures in filing Income Tax returns (ITRs)?

Topic: Filing and paying

Answer: For "with payment" ITRs (BIR Form Nos. 1700 / 1701 / 1701Q / 1702 / 1702Q / 1704), file the return in triplicate (two copies for the BIR and one copy for the taxpayer) with the Authorized Agent Bank (AAB) of the place where the taxpayer is registered or required to be registered.

In places where there are no AABs, file the return directly with the Revenue Collection Officer or duly Authorized Treasurer of the city or municipality in which such person has his legal residence or principal place of business in the Philippines, or if there is none, filing of the return will be at the Office of the Commissioner.

Question 9 (Part B: "no payment" ITRs): What are the procedures in filing Income Tax returns (ITRs)?

Topic: Filing and paying

Answer: "No payment" ITRs are returns that are refundable, break-even, exempt and no operation/transaction, including returns to be paid on 2nd installment and returns paid through a Tax Debit Memo (TDM). File these returns with the concerned Revenue District Office (RDO) where the taxpayer is registered.

However, "no payment" returns filed late shall not be accepted by the RDO. Instead, they shall be filed with an Authorized Agent Bank (AAB) or Collection Officer/Deputized Municipal Treasurer (in places where there are no AABs), for collection of necessary penalties.

Question 10 (Part A: graduated income tax rate): How is Income Tax payable of individuals (resident citizens and non-resident citizens) computed?

Topic: Filing and paying

Answer: To compute income tax payable of individuals (resident citizens and non-resident citizens) based on the graduated income tax rate:

Step 1. Start with gross income. Less allowable deductions (itemized or optional). The result is net taxable income.

Step 2. Multiply net taxable income by the tax rate (0% to 35%). The result is income tax due.

Step 3. Less tax withheld (per BIR Form 2316). The result is income tax payable.

Question 10 (Part B(i): 8% preferential tax rate, purely self-employed): How is Income Tax payable of individuals (resident citizens and non-resident citizens) computed?

Topic: Filing and paying

Answer: To compute income tax payable of individuals (resident citizens and non-resident citizens) based on the preferential tax rate of 8%, when the taxpayer's source of income is purely from self-employment:

Step 1. Start with gross sales/receipts. Add non-operating income. The result is gross taxable income.

Step 2. Less the amount allowed as deduction under Sec. 24(A)(2)(b) of the NIRC, as amended, which is P250,000.00. The result is net taxable income.

Step 3. Multiply net taxable income by the tax rate of 8%. The result is income tax due.

Step 4. Less tax withheld (per BIR Form 2307). The result is income tax payable.

Question 10 (Part B(ii): 8% preferential tax rate, mixed income earner, compensation portion): How is Income Tax payable of individuals (resident citizens and non-resident citizens) computed?

Topic: Filing and paying

Answer: A mixed income earner is an individual with both compensation income and business income. To compute the income tax of a mixed income earner based on the preferential tax rate of 8%, compute the tax on compensation and the tax on business income separately, then add them.

On compensation: start with total compensation income. Less non-taxable income, namely 13th month pay and other benefits (maximum P90,000.00). The result is taxable compensation income. Multiply by the tax rate (0% to 35%) to get tax due on compensation.

Question 10 (Part B(ii): 8% preferential tax rate, mixed income earner, business portion and total): How is Income Tax payable of individuals (resident citizens and non-resident citizens) computed?

Topic: Filing and paying

Answer: For a mixed income earner under the 8% preferential tax rate, the business income portion and the total are computed as follows.

On business income: start with gross sales/receipts. Add non-operating income. The result is taxable business income. Multiply by the tax rate of 8% to get tax due on business income.

Total: total income tax due equals tax due on compensation plus tax due on business income. Less tax withheld (per BIR Form 2316/2307). The result is income tax payable.

Question 11 (Part A: through withholding): How is Income Tax Paid?

Topic: Filing and paying

Answer: Income tax is paid through withholding. The withholding rates depend on the payee.

Individual payee: if the gross annual business or professional income did not exceed P3,000,000.00, the withholding rate is 5%. If the gross annual business or professional income is more than P3,000,000.00, the withholding rate is 10%.

Non-individual payee: if the gross annual business or professional income did not exceed P720,000.00, the withholding rate is 10%. If the gross annual business or professional income is more than P720,000.00, the withholding rate is 15%.

Question 11 (Part B: pay the balance when filing the return): How is Income Tax Paid?

Topic: Filing and paying

Answer: Income tax is also paid by paying the balance as you file the tax return. Net income tax due equals income tax due less withholding tax.

When the tax due exceeds P2,000.00, the taxpayer may elect to pay in two equal installments. The first installment shall be paid at the time the return is filed. The second installment shall be paid on or before October 15 following the close of the calendar year, to the Authorized Agent Bank (AAB) within the jurisdiction of the Revenue District Office (RDO) where the taxpayer is registered.

Question 12: Is the Minimum Corporate Income Tax (MCIT) an addition to the regular or normal income tax?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: No, the Minimum Corporate Income Tax (MCIT) is not an additional tax.

An MCIT of 2% of the gross income as of the end of taxable year (whether calendar or fiscal year, depending on the accounting period employed) is imposed on a corporation taxable under Title II of the Tax Code, as amended, beginning on the 4th taxable year immediately following the taxable year in which such corporation commenced its business operations when the MCIT is greater than the regular income tax.

The MCIT is compared with the regular income tax, which is due from a corporation. If the regular income tax is higher than the MCIT, then the corporation does not pay the MCIT but the amount of the regular income tax.

Question 13: Who are covered by MCIT?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: The Minimum Corporate Income Tax (MCIT) covers domestic and resident foreign corporations which are subject to the regular income tax. The term "regular income tax" refers to the regular income tax rates under the Tax Code. Thus, corporations which are subject to a special corporate tax or to preferential rates under special laws do not fall within the coverage of the MCIT.

For corporations whose operations or activities are partly covered by the regular income tax and partly covered by the preferential rate under special law, the MCIT shall apply the regular income tax rate on its operations not covered by the tax incentives. Newly established corporations or firms which are on their first 3 years of operations are not covered by the MCIT.

Question 14: When does a corporation start to be covered by the MCIT?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: A corporation starts to be covered by the Minimum Corporate Income Tax (MCIT) on the 4th year following the year of the commencement of its business operations. The period of reckoning, which is the start of its business operations, is the year when the corporation was registered with the BIR. This rule will apply regardless of whether the corporation is using the calendar year or fiscal year as its taxable year.

Question 15: When is the MCIT reported and paid? Is it quarterly?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: The Minimum Corporate Income Tax (MCIT) is paid on an annual basis and quarterly basis. The rules are governed by Revenue Regulations No. 12-2007.

Question 16 (Part A: rate and quarterly computation): How is MCIT computed?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: The Minimum Corporate Income Tax (MCIT) is 2% of the gross income of the corporation at the end of the taxable year.

The computation and the payment of MCIT shall likewise apply at the time of filing the quarterly corporate income tax as prescribed under Section 75 and Section 77 of the Tax Code, as amended. In the computation of the tax due for the taxable quarter, if the computed quarterly MCIT is higher than the quarterly normal income tax, the tax due to be paid for such taxable quarter at the time of filing the quarterly income tax return shall be the MCIT, which is two percent (2%) of the gross income as of the end of the taxable quarter.

Question 16 (Part B: gross income and cost of goods sold): How is MCIT computed?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: For purposes of computing the MCIT, "gross income" means gross sales less sales returns, discounts and cost of goods sold. Passive income which has been subject to a final tax at source does not form part of gross income for purposes of computing the MCIT.

Cost of goods sold includes all business expenses directly incurred to produce the merchandise to bring them to their present location and use.

Question 16 (Part C: cost of goods sold for trading and manufacturing concerns): How is MCIT computed?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: For purposes of computing the MCIT, cost of goods sold is defined differently for trading and manufacturing concerns.

For a trading or merchandising concern, cost of goods sold means the invoice cost of goods sold, plus import duties, freight in transporting the goods to the place where the goods are actually sold, including insurance while the goods are in transit.

For a manufacturing concern, cost of goods manufactured and sold means all costs of production of finished goods such as raw materials used, direct labor and manufacturing overhead, freight cost, insurance premiums and other costs incurred to bring the raw materials to the factory or warehouse.

Question 16 (Part D: sale of services and gross receipts): How is MCIT computed?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: For sale of services, gross income for MCIT means gross receipts less discounts and cost of services. Cost of services covers all direct costs and expenses necessarily incurred to provide the services required by the customers and clients, including: salaries and employees benefits of personnel, consultants and specialists directly rendering the service; cost of facilities directly utilized in providing the service such as depreciation or rental of equipment used; and cost of supplies. Interest expense is not included as part of cost of service, except in the case of banks and other financial institutions.

"Gross receipts" means amounts actually or constructively received during the taxable year. However, for taxpayers employing the accrual basis of accounting, it means amounts earned as gross income.

Question 17: What is the carry forward provision under the MCIT?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: Any excess of the Minimum Corporate Income Tax (MCIT) over the normal income tax may be carried forward and credited against the normal income tax for the three (3) immediately succeeding taxable years.

Question 18: How would the MCIT be recorded for accounting purposes?

Topic: Minimum Corporate Income Tax (MCIT)

Answer: Any amount paid as excess Minimum Corporate Income Tax (MCIT) should be recorded in the corporation's books as an asset under account title "Deferred charges-MCIT".

Question 19: How long can we amend our income tax return?

Topic: Amendments and dependents

Answer: There is no prescription period for amending the income tax return. When the taxpayer has been issued a Letter of Authority, he can no longer amend the return.

Question 20: Can a benefactor of a senior citizen claim him/her as additional dependent in addition to his/her 3 qualified dependent children at Php25,000 each?

Topic: Amendments and dependents

Answer: No, pursuant to Revenue Regulations 2-94, the benefactor of a senior citizen cannot claim the additional exemption. Further, additional exemptions of individual taxpayers are removed under RA 10963 (Tax Reform for Acceleration and Inclusion).